Then, at four thirty that afternoon, Ed Meese and Don Regan brought me a bombshell: Over the weekend, one of Ed's assistants had discovered a memorandum indicating that Lieutenant Colonel Oliver North, while working with the Iranians to arrange the release of the hostages, had diverted part of the money the Iranians paid for the weapons to support the freedom fighters in Nicaragua—and John Poindexter had known about it.

My first reaction was that Poindexter and North wouldn't do anything like that without telling me—that there had to be a mistake. But Ed said he was sure, there hadn't been a mistake, the memorandum made it clear what had happened.

In recounting this meeting in my diary that night, I used these words to discuss the revelation: "After the meeting in the Situation Room, Ed M. and Don R. told me of a smoking gun. On one of the arms shipments the Iranians had paid Israel a higher purchase price than we were getting. The Israelis put the difference in a secret bank account. Then our Col. North (N.S.C.) gave the money to the 'Contras.' . . . North didn't tell me about this. Worst of all, John P. found out about it and didn't tell me. This may call for resignations."

After an initial reaction of surprise, shock, and disbelief to what Ed Meese had found, I told the cabinet and the White House staff that we were going to do everything we could to get to the bottom of the matter, immediately make public the discovery, and hide nothing. The worst thing we could do was try to cover it up. Early the next morning, I met with the leadership of the Congress—both houses, both parties, in one meeting—to tell them what Ed had found. Then I announced it to the press. Ed took their questions for an hour and we leveled with them, the whole truth. John Poindexter submitted his resignation as national security advisor and Oliver North was relieved of his duties on the NSC staff. Then I went on television to inform the American